PRESENTATION AND DISCLOSURE

Learning Outcome

- analyze and interpret financial statement disclosures regarding property, plant, and equipment and intangible assets

Under IFRS, for each class of property, plant, and equipment, a company must disclose the measurement basis, the depreciation method, the useful life (or, equivalently, the depreciation rate) used, the gross carrying amount, and the accumulated depreciation at the beginning and end of the period, and a reconciliation of the carrying amount at the beginning and end of the period.[11] In addition, disclosures of restrictions on title and pledges as security of property, plant, and equipment and contractual agreements to acquire property, plant, and equipment are required. If the revaluation model is used, the date of revaluation, details of how the fair value was obtained, the carrying amount under the cost model, and the revaluation surplus must be disclosed. A company must also disclose the depreciation expense for the period, the balances of major classes of depreciable assets, accumulated depreciation by major classes or in total, and a general description of the depreciation method(s) used in computing depreciation expense with respect to the major classes of depreciable assets.

Under IFRS, for each class of intangible assets, a company must disclose whether the useful lives are indefinite or finite. If finite, for each class of intangible asset, a company must disclose the useful lives (or, equivalently, the amortization rate) used, the amortization methods used, the gross carrying amount and the accumulated amortization at the beginning and end of the period, where amortization is included on the income statement, and a reconciliation of the carrying amount at the beginning and end of the period.[12] If an asset has an indefinite life, the company must disclose the carrying amount of the asset and why it is considered to have an indefinite life. Similar to property, plant, and equipment, disclosures of restrictions on title and pledges as security of intangible assets and contractual agreements to acquire intangible assets are required. If the revaluation model is used, the date of revaluation, details of how the fair value was obtained, the carrying amount under the cost model, and the revaluation surplus must be disclosed.

Under US GAAP, companies are required to disclose the gross carrying amounts and accumulated amortization in total and by major class of intangible assets, the aggregate amortization expense for the period, and the estimated amortization expense for the next five fiscal years.[13]

The disclosures related to impairment losses also differ under IFRS and US GAAP. Under IFRS, a company must disclose for each class of assets the amounts of impairment losses and reversals of impairment losses recognized in the period and where those are recognized on the financial statements.[14] The company must also disclose in aggregate the main classes of assets affected by impairment losses and reversals of impairment losses and the main events and circumstances leading to recognition of these impairment losses and reversals of impairment losses. Under US GAAP, there is no reversal of impairment losses for assets held for use. The company must disclose a description of the impaired asset, what led to the impairment, the method of determining fair value, the amount of the impairment loss, and where the loss is recognized on the financial statements.[15]

Disclosures about long-lived assets appear throughout the financial statements: in the balance sheet, the income statement, the statement of cash flows, and the notes. The balance sheet reports the carrying value of the asset. For the income statement,

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whether the company is using a 'nature of expense' method or a 'function of expense' method. Under the nature of expense method, a company aggregates expenses "according to their nature (e.g., depreciation, purchases of materials, transport costs, employee benefits and advertising costs), and does not reallocate them among functions within the entity."[16] Under the function of expense method, a company classifies expenses according to the function, for example as part of cost of sales or of SG&A (selling, general, and administrative) expenses. At a minimum, a company using the function of expense method must disclose cost of sales, but the other line items vary.

The statement of cash flows reflects acquisitions and disposals of fixed assets in the investing section. In addition, when prepared using the indirect method, the statement of cash flows typically shows depreciation expense (or depreciation plus amortization) as a line item in the adjustments of net income to cash flow from operations. The notes to the financial statements describe the company's accounting method(s), the range of estimated useful lives, historical cost by main category of fixed asset, accumulated depreciation, and annual depreciation expense.

The following example provides excerpts relating to intangible assets and property, plant, and equipment from the annual report of Orange SA for the year ended 31 December 2017.

EXAMPLE 5

Financial Statement Presentation and Disclosures for Long-Lived Assets

The following exhibits include excerpts from the annual report for the year ended 31 December 2017 of Orange SA, an international telecommunications company based in France.

Exhibit 3:

Orange SA, 2017 Consolidated Financial Statement

Excerpt from Consolidated Income Statement (euro millions)

(Note that only selected line items/data are shown for illustrative purposes)

	12 Months Ended		
	31 Dec. 2017	**31 Dec. 2016**	**31 Dec. 2015**
Revenues	€41,096	€40,918	€40,236
...	...	...	...
Depreciation and amortization	(6,846)	(6,728)	(6,465)
...	...	...	...
Impairment of goodwill	(20)	(772)	
Impairment of fixed assets	(190)	(207)	(38)
...	...	...	...
Operating income	4,917	4,077	4,742
...	...	...	...
Consolidated net income of continuing operations	2,114	1,010	2,510
Consolidated net income of discontinued operations (EE)	29	2,253	448
Consolidated net income	**2,143**	**3,263**	**2,958**

Non-controlling interests	€237	€328	€306

Excerpt from the Consolidated Statement of Financial Position (euro millions)

Assets	**31 Dec. 2017**	**31 Dec. 2016**	**31 Dec. 2015**
Goodwill	€27,095	€27,156	€27,071
Other intangible assets	14,339	14,602	14,327
Property, plant, and equipment	26,665	25,912	25,123
...	...	...	...
Total non-current assets	74,035	74,819	71,330
...	...	...	...
Total current assets	20,679	19,849	14,312
Assets held for sale			5,788
Total assets	**94,714**	**94,668**	**91,430**
Equity and liabilities			
...	...	...	...
Total equity	32,942	33,174	33,267
...	...	...	...
Total non-current liabilities	32,736	35,590	36,537
...	...	...	...
Total current liabilities	29,036	25,904	21,626
Total equity and liabilities	**94,714**	**94,668**	**91,430**

Exhibit 4:

Orange SA, 2017 Notes to the Consolidated Financial Statement

Excerpt from Note 7.2 Goodwill

Excerpt from Reconciliation of Changes in Goodwill (euro millions)			
	12 Months Ended		
	31 Dec. 2017	**31 Dec. 2016**	**31 Dec. 2015**
Gross value in the opening balance	€32,689	€32,606	€30,271
Acquisitions	38	904	2,333
Disposals	0	(6)	(69)
Translation adjustment	(40)	(815)	73
Reclassifications and other items	0	0	(2)
Reclassification to assets held for sale	0	0	0
Gross value in closing balance	32,687	32,689	32,606
Accumulated impairment losses in the opening balance	(5,533)	(5,535)	(5,487)
Impairment	(20)	(772)	0
Disposals	0	0	0
Translation adjustment	(39)	774	(48)
Reclassifications and other items	0	0	0
Reclassification to assets held for sale	0	0	0
Accumulated impairment losses in the closing balance	€(5,592)	€(5,533)	€(5,535)
Net book value of goodwill	**27,095**	**27,156**	**27,071**

Excerpt* from Note 7.3 Key assumptions used to determine recoverable amounts as of 31 December 2017*

	France	Spain	Poland	Belgium	Romania
Perpetuity growth rate	0.8%	1.5%	1.0%	0.5%	2.3%
Post-tax discount rate	5.5%	8.6%	8.3%	6.8%	8.8%

Excerpt from Note 7.4 Sensitivity of recoverable amounts as of 31 December 2017*

The level of sensitivity presented allows readers of the financial statements to estimate the impact in their own assessment.

(in billions of euros)	France	Spain	Poland	Belgium	Romania
Decrease by 1% in perpetuity growth rate	10.4	1.6	0.6	0.3	0.3
An increase by 1% in post-tax discount rate	11.4	2.0	0.6	0.3	0.3

* Table extracted presents only selected assumptions and selected countries.

The company's annual report provides more detail.

"Goodwill is not amortized. It is tested for impairment at least annually and more frequently when there is an indication that it may be impaired .... These tests are performed at the level of each Cash Generating Unit (CGU) (or group of CGUs)... To determine whether an impairment loss should be recognized, the carrying value of the assets and liabilities of the CGUs or groups of CGUs is compared to recoverable amount, for which Orange uses mostly the value in use…. Value in use is the present value of the future expected cash flows. Cash flow projections are based on economic and regulatory assumptions, license renewal assumptions and forecast trading and investment activity drawn up by the Group's management…"

Excerpt from Note 8.3 Other intangible assets—Net book value

	31 December		
(in millions of euros)	2017	2016	2015
Telecommunications licenses	6,233	6,440	5,842
Orange brand	3,133	3,133	3,133
Other brands	88	102	137
Customer bases	555	703	729
Software	3,946	3,781	3,815
Other intangible assets	384	443	671
Total	€14,339	€14,602	€14,327

Excerpt from Note 8.4 Property, plant and equipment—Net book value

	31 December		
(*in millions of euros*)	2017	2016	2015
Land and buildings	2,535	2,661	2,733
Network and terminals	22,880	21,984	21,194
IT equipment	802	784	787
Other property, plant, and equipment	448	483	409
Total	€26,665	€25,912	€25,123

Exhibit 5:

"Orange group operating income stood at 4,077 million euros in 2016, compared with 4,742 million euros in 2015 on a historical basis, a drop of 14.0% or 665 million euros. This drop on a historical basis was largely attributable to:

- the recognition, in 2016, of 772 million euros in impairment loss of goodwill ... and 207 million euros in impairment loss of fixed assets ... primarily relating to:
  - Poland for 507 million euros. This impairment loss mainly reflects a decline in competitiveness in the ADSL market, a deterioration in revenue assumptions in the mobile market and an increase in the post-tax discount rate due to the downgrading of the country's sovereign rating by the rating agencies,
  - Egypt for 232 million euros. This impairment loss reflects the financial terms of the 4G license awarded in 2016, the sharp depreciation of the Egyptian pound and increased political and economic uncertainty,
  - in the Congo (DRC), for 109 million euros. This impairment loss reflects political and economic uncertainty, a decline in purchasing power with a knock-on effect on the consumption of telecommunications products and services and an increased regulatory burden (particularly connected with the implementation of customer identification),
  - Cameroon for 90 million euros. This impairment loss reflects a decline in voice revenues following the surge in messaging services and in VoIP of Over-The-Top (OTT) providers and heightened competition in the mobile market,
  - and Niger for 26 million euros;
- and the 263 million euro increase in depreciation and amortization."

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1. What proportion of Orange's total assets as of 31 December 2017 is represented by goodwill and other intangible assets?

   Hide Solution

   Solution:

   As of 31 December 2017, goodwill represents 28.6 percent (= 27,095 ÷ 94,714) of Orange's total assets. Other intangible assets represent 15.1 percent (= 14,339 ÷ 94,714). Data are from the company's balance sheet in Exhibit 3.

2. What is the largest component of the company's impairment losses during the year ending December 2016?

   Hide Solution

   Solution:

   The largest component of the EUR772 impairment loss on goodwill and the EUR207 million impairment loss of fixed assets related to a EUR507 million loss in Poland. The company attributed the loss to a decline in the competitiveness of the market for its ADSL technology, a reduction in revenue assumptions, and an increase in the discount rate resulting from the downgrading of the country's debt rating. From Exhibit 4:

   [The company's financial statements define ADSL (Asymmetrical Digital Subscriber Line) as a "broadband data transmission technology on the traditional telephone network. It enables broadband data transmission (first

3. The company discloses that it determines whether an impairment loss should be recognized by comparing the carrying value of a unit's assets and liabilities to the "recoverable amount," equal to the company's estimate of its value in use. How does the company determine value in use?

Hide Solution

Solution:

The company determines value in use – which it uses as a unit's assets and liabilities "recoverable amount" in impairment testing – as the present value of the future expected cash flows. The cash flow projections are based on management's assumptions. From Note 7.4 in Exhibit 4.

4. By what amount would the estimated recoverable value of the company's operations in France, Spain, Poland, Belgium, and Romania change if the company decreased its estimate of the perpetuity growth rate by 1 percent? By what amount would the estimated recoverable value of these operations change if the company increased its estimate of the post-tax discount rate by 1 percent?

Hide Solution

Solution:

If the company decreased its estimate of the perpetuity growth rate by 1 percent, the estimated recoverable value of the company's operations in France, Spain, Poland, Belgium and Romania would be reduced by EUR13.2 billion (=10.4 + 1.6 + 0.6 + 0.3 + 0.3). A decrease in estimated growth decreases the present value of the cash flows. If the company increased its estimate of the post-tax discount rate by 1 percent, the estimated recoverable value of these operations would be reduced by EUR14.6 billion (=11.4 + 2.0 + 0.6 + 0.3 + 0.3). An increase in the discount rate decreases the present value of cash flows. Data are from Note 7.4 in Exhibit 4.

5. What are the largest components of other intangible assets as of 31 December 2017? What is the largest component of property, plant and equipment as of 31 December 2017?

Hide Solution

Solution:

The largest components of other intangible assets as of 31 December 2017 are telecommunications licenses, software, and the Orange brand, reported at EUR6,233 million, EUR3,946 million, and EUR3,133 million, respectively. The largest component of property, plant, and equipment as of 31 December 2017 is network and terminals (EUR22,880 million). Data are from Notes 8.3 and 8.4 in Exhibit 4.

Note that the exhibits in the previous example contain relatively brief excerpts from the company's disclosures. The complete text of the disclosures concerning the company's non-current assets spans numerous different footnotes, some of which are several pages long. Overall, an analyst can use the disclosures to understand a company's investments in tangible and intangible assets, how those investments changed during a reporting period, how those changes affected current performance, and what those changes might indicate about future performance.

AZ too much disclosures -.-

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